Role-Associate AML/KYC

1. What is AML and why is it important?

AML stands for Anti-Money Laundering. In simple terms, it's about making sure the bank is not being used to move illegal money. From an operations point of view, it protects the bank's reputation, avoids regulatory penalties, and ensures we're doing business with genuine clients.

In IB operations, even a small oversight can lead to regulatory fines or reputational damage, so AML controls are critical.

2. What is KYC and why do we perform it?

KYC means Know Your Customer.Before onboarding a client, we verify who they are, what they do, where their funds come from, and whether they pose any financial crime risk.

It's like doing background verification before entering into a business relationship. We collect documents, validate beneficial ownership, and assess risk levels before activating accounts.

3.What are the key components of KYC?

- Customer Identification Program (CIP) – Verifying identity using official documents.
- Customer Due Diligence (CDD) – Understanding the nature of the business and risk profile.
- Enhanced Due Diligence (EDD) – Extra scrutiny for high-risk clients like PEPs or high-risk jurisdictions.

4.What are some red flags in AML monitoring?

- Large transactions inconsistent with client profile
- Frequent fund transfers to high-risk countries
- Structuring transactions to avoid reporting thresholds
- Shell companies with unclear ownership

5.What is a PEP?

PEP stands for Politically Exposed Person. These are individuals who hold prominent public positions like ministers, MPs, senior government officials or their close relatives.

They're considered high risk because of potential corruption exposure. So they require Enhanced Due Diligence before onboarding and ongoing monitoring.

6.What is Sanctions Screening?

Sanctions screening ensures that the client is not listed on global sanctions lists like

- Office of Foreign Assets Control (OFAC)
- United Nations Sanctions List

7.Difference between CDD and EDD?

CDD is standard due diligence applied to normal-risk clients.
 EDD is a deeper investigation applied to high-risk clients such as PEPs, entities in high-risk jurisdictions, or complex ownership structures.

EDD involves additional documentation, source of wealth verification, and senior management approval.

8.What happens if KYC is incomplete?

If KYC documentation is incomplete or expired:

- Account may be restricted
- Transactions may be blocked
- Client may be offboarded

9.How does AML/KYC relate to Investment Banking Operations?

In Investment Banking, we deal with high-value transactions, corporate clients, and cross-border payments. If AML/KYC is weak:

- The bank may unknowingly facilitate illegal fund movement
- There could be regulatory penalties
- It can impact deal execution timelines

10.What is Ongoing Monitoring?

KYC is not a one-time process. Even after onboarding, client transactions are continuously monitored to ensure they align with their expected activity.

If their transaction behavior suddenly changes, it may trigger a review or KYC refresh.